Terminology
The language of Business Analytics

1. Business Analytics Definition

* Is the practise of using data and statistical methods or tools to analyze business performance to support business decision-making

Example > A retail analyzing past sales data to predict which products will sell more next

Source > Databricks Staff published 17 February 2026

2. Data Analytic Definition

* Is the process of collecting, transforming and organizing data in order to draw conclusions, make prediction and drive informed decision-making

Example > Walmart uses analytics to retain customers by creating loyalty program

Source > Kishan Pandey published 14 July 2022 [Online Article]

3. Business Intelligence (BI)

* Is a technology-driven process that analyzes historical and current data, turning it into actionable insights via dashboards, reports and charts.

Example > Sales managers monitor targets, sales rep performance using dashboards with reports and data visualizations

Source > Andy Morris published 16 April 2021

4. Data-Driven Decision Making

* Is the process of using verified facts, metrics and data analysis to guide strategic business actions.

Example > A global retailer uses customer data extensively to build targeted marketing campaigns

Source > Tim Mucci IBM writer

Big data - refer to extremely large, diverse and fast growing datasets structured, unstructured or semi-structured that exceed the processing capacity of traditional database systems

Example Big data is transforming the entertainment industry by personalizing content and improving user engagement.

Source Mabili published 25 June 2024

6. Descriptive Analytics - Is the foundational process of analyzing historical data to summarize past events, patterns and trends.

Example Netflix team gathers data to determine which TV series and movies are trending

Source Catherine Cole published 09 November 2021

7. Diagnostic Analytics - Is a form of business analytics that examines historical data to understand the root cause of trends

Example - Identifies how independent variables influence a dependent variable.

Sources - Judith Aquino and Alexandra Jonker

8. Predictive Analytics - Is a branch of advanced data science that uses historical data, data mining and machine learning to forecast future outcomes, trends and behaviors.

Example - This model are widely used in stock market forecasting, credit scoring and risk assessment, like calculating the profitability of a share rising before investing

Source - Sas Tooth Software published 24 June 2024

9. Prescriptive Analytics - Is the final phase of data analytics that uses AI machine learning to recommend specific, actionable steps to achieve desired outcomes.
Example Tik-Tok's website says 'If you finished watching a video, that is a strong indicator that someone is interested

Source - Catherine Cote published on November 2021

10 Data literacy - refer to the ability to read, work with, analyze and communicate effectively with data
Example - Compare monthly spending trends understand interest rates.

Source - Databrick staff